

Macro Rate Radar — Bank of England

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Simple monetary-policy rules — the Taylor-rule family relating the policy rate to inflation and the output gap — evaluated on current public data (inflation 3.10% vs a 2.00% objective, r^* 0.75%, output gap -0.30pp), and set against the meeting path the futures strip currently prices. The median of the five rules sits at **4.10%**, 35bp above the current policy setting of 3.75%, with 70bp of dispersion across rules. Taken to the September 2027 meeting, the rule path implies 128bp more easing than the futures strip currently prices — a divergence that may be worth a closer look. Note: r^* , NAIRU are an assumption for this bloc rather than a published estimate; the prescription moves with it.

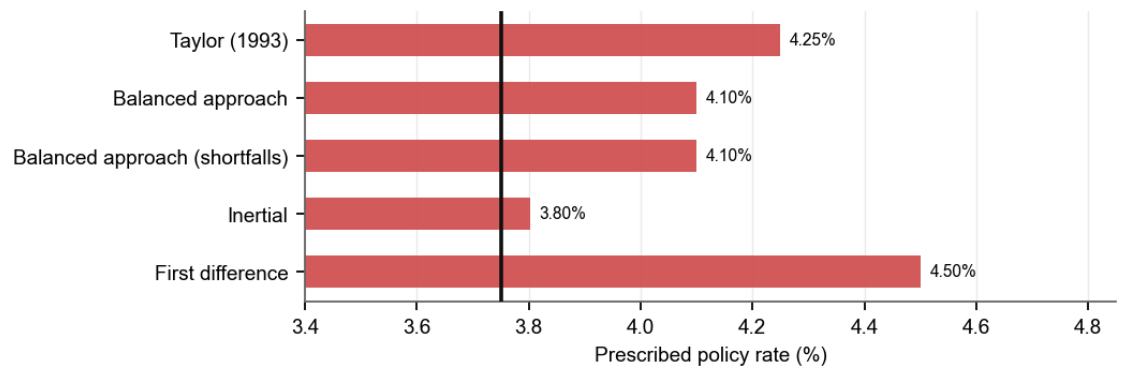
POLICY RATE
3.75%
current setting

MEDIAN RULE
4.10%
+35 bp vs policy

RULE DISPERSION
70 bp
highest minus lowest

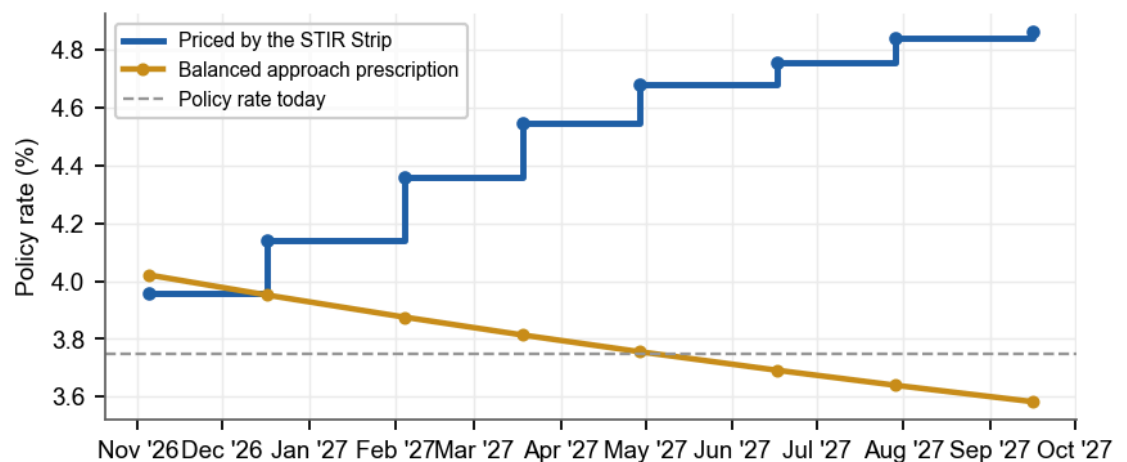
VS THE STRIP
-128 bp
prescribed – priced,
furthest meeting

THE FIVE RULES — PRESCRIPTION VS THE CURRENT SETTING



Rule	Prescribes	vs policy (bp)	Working
Taylor (1993)	4.25%	+50	$0.75 + 3.10 + 0.5 \times (3.10 - 2.00) + 1.0 \times (-0.15) = 4.25\%$
Balanced approach	4.10%	+35	$0.75 + 3.10 + 0.5 \times (3.10 - 2.00) + 2.0 \times (-0.15) = 4.10\%$
Balanced approach (shortfalls)	4.10%	+35	$0.75 + 3.10 + 0.5 \times (3.10 - 2.00) + 2.0 \times \min(-0.15, 0) = 4.10\%$
Inertial	3.80%	+5	$0.85 \times 3.75 + 0.15 \times 4.10 = 3.80\%$
First difference	4.50%	+75	$3.75 + 0.5 \times (3.10 - 2.00) + (-0.15 - -0.35) = 4.50\%$

PRESCRIBED VS PRICED — RULE PATH AGAINST THE FUTURES STRIP



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Meeting	Priced policy (%)	Priced cum (bp)	Rule prescribes (%)	Spread (bp)
05 Nov 2026	3.960	+23.0	4.02	+6
17 Dec 2026	4.138	+40.8	3.95	-19
04 Feb 2027	4.361	+63.0	3.88	-49
18 Mar 2027	4.548	+81.8	3.81	-73
29 Apr 2027	4.681	+95.1	3.76	-93
17 Jun 2027	4.757	+102.7	3.69	-107
29 Jul 2027	4.840	+111.0	3.64	-120
16 Sep 2027	4.862	+113.1	3.58	-128

Market path from the exchange settlement strip (2026-09-21), inverted into a meeting path: a positive spread means the rule prescribes a higher rate than the curve has priced at that meeting; a negative spread the reverse.

DATA SOURCES

inflation	ONS · UK CPI (y/y) (2026-08-01)
policy rate	Bank of England · Bank Rate (2026-09-18)
unemployment	ONS · UK unemployment rate (2026-06-01)
r*	assumed 0.75% — no published estimate for this bloc
NAIRU	assumed 4.75% — not published for this bloc

Policy rules are illustrative benchmarks, not forecasts: no central bank follows one mechanically, and prescriptions are sensitive to unobservable inputs (the neutral rate, the output gap) that are estimated or assumed. All data from public sources — FRED/ALFRED, Eurostat, the ECB Data Portal, the Bank of England, the ONS, and Federal Reserve banks.

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